ECO403 - Quiz No.03

Date: 08 January 2026

Q.1 Macro-economic disequilibrium exists when aggregate supply is -------

A. not equal to aggregate demand.

B. equal to aggregate investment.

C. equal to aggregate demand.

D. not equal to aggregate investment.

Q.2 Which of the following is an example of fiscal policy that will increase aggregate demand?

A. A tax cut.

B. An increase in discount rate.

C. A cut in government expenditure.

D. A cut in discount rate.

Q.3 If marginal propensity to consume (MPC) is 0.7, the government purchases multiplier is----------

A. 1/0.3.

B. 1/0.7.

C. 0.7/0.7.

D. 1-0.7/-0.7.

Q.4 The important determinant of the steady state ratio of capital to labor is--------

A. Foreign aid.

B. Saving rate.

C. Output.

D. Labor force.

Q.5 Nominal exchange rate is denoted by----------

A. E.

B. e.

C. r*.

D. P*.

Q.6 In Solow model; production functions shows labor augmenting technological progress. Y is equal to:

A. F (K+1, L+1 + E+1)

B. F (K, L + E)

C. F (K, L x E)

D. F (K+1, L + K)

Q.7 If marginal propensity to consume (MPC) is 0.9, the government purchases multiplier is----------

A. 1.11

B. 10

C. 5

D. 2

Q.8 Which of the following is a correct statement?

A. LM* curve is positively sloped.

B. LM* curve is vertical.

C. LM* curve is horizontal.

D. LM* curve is negatively sloped.

Q.9 In the short run equilibrium, if output is ----------level, then prices will fall.

A. At the full employment

B. Above the natural rate of unemployment

C. Below the full employment

D. Above the unemployment

Q.10 Suppose labor force (L) = 1000 in a year and population is growing at 1% per year then change in labor force will be----------

A. 1.

B. 10.

C. 10%.

D. 0.11.
